2026-2027
PRELIMINARY BUDGET

JULY 1, 2026 - JUNE 30, 2027

INDEPENDENT SCHOOL DISTRICT NO. 834
1875 SOUTH GREELEY STREET
STILLWATER, MINNESOTA 55082
WWW.STILLWATERSCHOOLS.ORG

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2026-2027

School Board & Administration

School Board:

Alison Sherman	Chair
Andrew Thelander	Vice Chair
Sarah Grcevich	Clerk
Chris Lauer	Treasurer
Katie Hockert	Director
Pete Kelzenberg	Director
Robert Parker	Director

Administration:

Dr. Mike Funk	Superintendent of Schools
Dr. Efe Agbamu	Assistant Superintendent
Kristine Carlston	Executive Director of Human Resources
Mark Drommerhausen	Executive Director of Operations
Carissa Keister	Chief of Staff/Executive Director of Strategic Communications
Annette Sallman	Executive Director of Community Education & Community Relations
Marie Schrul	Chief Financial Officer
Eric Simmons	Executive Director of Technology
Caitlyn Willis	Chief Academic Officer

2026-27 PONY PLAN

Developed by the students, families and staff of Stillwater Area Public Schools

Our Purpose
Why we are here

To inspire curiosity and the love of learning in every child. To provide a wide range of engaging learning opportunities to build the resilience and empathy learners need to successfully navigate their futures.

Our Beliefs
What we stand for

- Everyone belongs
- Everyone has a voice
- All students deserve an excellent education
- The whole child matters
- Curiosity thrives here

Our Personality
Who we are

- **Inclusive and welcoming:** Belonging is woven into the fabric of our community. No matter who you are – or where you were born – we welcome you!
- **Curious:** We ask questions. We challenge ourselves and each other to dig deeper and look at things differently.
- **Resilient:** We have grit and determination. We try harder, and never give up.
- **Empathetic:** We care. Feelings matter. And we learn how to look at the world from other peoples' perspectives.
- **Spirited and enthusiastic:** We have contagious enthusiasm that is unparalleled. Together, we are Ponies.

Strategic Directions
What we commit to creating

Direction A: Ensure the learning process is adaptable to meet individual student needs

Direction B: Foster a safe, welcoming and inclusive environment for all staff and students

Direction C: Utilize systems and align resources in an efficient manner to support learning

Strategic Direction D: Develop strong partnerships with the communities we serve

Pony Community Commitments
How we work together

As individuals working, serving and interacting within the Stillwater Area Public Schools, we commit to always:

- Foster a culture of belonging
- Use our voices for good and listen with empathy
- Demonstrate respect for all
- Have high expectations and seek feedback with openness and curiosity
- Embrace new ideas which improve our students' experiences

Key Initiatives
Where we will focus our resources

- Literacy
- Equity and Inclusion
- Social Emotional Learning and Mental Health

Our Focus:

High Quality Instruction

2026-2027

A Brief History

Stillwater Area Public Schools has a long and proud tradition. Minnesota's first schoolhouse was built in Stillwater in 1848, one year before Minnesota became a territory. Stillwater became the state's first school district just two years later. The District, now known as Independent School District No. 834, Stillwater Area Public Schools, has a long tradition of high expectations, high standards, and outstanding achievement. It is also a system dedicated to continuous improvement.

From the first one-room schoolhouse, Stillwater Area Public Schools has grown to serve over 8,400 students in seven elementary schools (K-5), two middle schools (grades 6-8), one high school (grades 9-12), one transition programming center serving students ages 18 to 22, and an early childhood family center which serves families with young children, from birth to age 5.

Stretching 30 miles along the scenic St. Croix River, from Marine on St. Croix south to Afton, the District covers approximately 150 square miles. The district encompasses 18 communities, including: Afton, Bayport, Baytown Township, Grant, a portion of Hugo, Lake Elmo, Lakeland, Lakeland Shores, Lake St. Croix Beach, Marine on St. Croix, May Township, Oak Park Heights, St. Mary's Point, Stillwater, Stillwater Township, West Lakeland Township, Withrow, and a portion of Woodbury. The area's population is approximately 70,310.

Transportation services are provided to over 7,500 public, non-public, and charter school students. Buses traveled over 2.5 million miles as they transport students to and from over 20 sites, both within and outside the district. On each school day, the district nutrition services team serves approximately 3,300 breakfasts and over 7,700 lunches at 20 school sites (including 8 school sites that have contracted with the school district).

Stillwater has built and maintained an exceptional reputation for excellence across the state and nation. Our schools are recognized as leaders in innovative education. Our students and our staff members are consistently recognized for their successes in academics, fine arts, and athletics. In addition, our district has received the Certificate of Excellence in Financial Reporting award for twenty-two consecutive years. This award validates the credibility of the school system's operations and measures the integrity and technical competence of the business staff.

Stillwater Area Public Schools believes in offering more for every child. From innovative classroom experiences to a wide array of extracurricular activities, we strive to make learning exciting and relevant.

While Stillwater is known for strong academics, exceptional arts programs, and winning sports teams, what truly matters are the relationships our staff builds with our students and families.

We're committed to our students and our staff:

- **Inclusive and Welcoming:** Belonging is woven into the fabric of our community. No matter who you are - or where you were born - we welcome you!
- **Curious:** We ask questions. Challenge ourselves and each other to dig deeper and look at things differently.
- **Resilient:** We have grit and determination. We learn to try harder and never give up.
- **Empathetic:** We care. Feelings matter. And we learn how to look at the world from other peoples' perspectives.
- **Spirited and Enthusiastic:** We have contagious enthusiasm that is unparalleled. Together, we are Ponies.

Our purpose is to inspire curiosity and the love of learning in every child. To provide a wide range of engaging learning opportunities to build the resilience and empathy learners need to successfully navigate their futures. We want our entire community to "Expect More" from Stillwater Area Public Schools.

We work closely with local businesses and organizations to create a strong network of support for our students. This collaboration allows us to provide rich educational experiences that extend beyond the classroom, preparing our students for future success.

At Stillwater Area Public Schools, every student matters, and we are committed to helping each child reach their full potential.

2026-27

Preliminary Budget Overview

Introduction

One of the areas of focus in the district's Operational Plan has been *Strategic Direction C: to utilize systems and align resources in an efficient manner to support learning.* In the Fall of 2023, the district began its first year of implementing the Priority Based Budgeting strategic plan initiative. Priority Based Budgeting focuses on strategic plan instructional priorities along with statutory requirements for federal and state funding as its guide for resource allocations. This process also identifies the programs that offer the highest value and continues to provide funding for them, while fixing, replacing or eliminating programs or services that have shown limited value or success. The district will be completing its third year of Priority Based Budgeting with the adoption of the 2026-27 preliminary budget.

The preliminary budget is adopted by the Board of Education by June 30. Once adopted, the preliminary budget becomes the district's expenditure authority for the fiscal year. It is based on enrollment projections for the upcoming school year, in addition to revenue and expenditure assumptions. During the fiscal year, the Board will approve a revised budget which includes updates to enrollment projections based on an October 1 student count, along with changes to revenue and expenditure estimates. Depending on the fiscal activity, the budget may be revised again during the spring, primarily due to changes in federal programs, grants and donations, in addition to legislative or other changes that may have occurred since the previous revision.

Education finance can vary due to many uncontrollable variables. Budgets are developed with several assumptions and projections that are based on trend data, economic environments, and cautious optimism.

Report Issued By:
Marie Schrul
Chief Financial Officer
schrulm@stillwaterschools.org

2026-27

Preliminary Budget Overview

Budget Timeline

Month	Activity	2024-25 Previous Fiscal Year	2025-26 Current Fiscal Year	2026-27 Next Fiscal Year
July	Fiscal year-end close	X		
August	Fiscal year-end close	X		
	Financial audit conducted	X		
	Levy & budget planning			X
September	Financial audit conducted	X		
	Board approves preliminary property tax levy			X
	Budget planning for the next fiscal year			X
October	Financial audit conducted	X		
	Enrollment count & adjustments		X	
November	Financial audit presented to the Board for approval	X		
	Fall budget revision		X	
	Budget planning for the next fiscal year			X
December	Truth in Taxation levy hearing			X
	Board certifies final property tax levy			X
January	Annual School Board meeting/resolutions		X	
	Fiscal forecast completed			X
February	Enrollment projections finalized for next school year			X
	Board approves budget guidelines & assumptions			X
	Priority Based Budget update presented to the Board			X
March	Staffing & budget allocations to schools			X
	Priority Based Budget update presented to the Board			X
April	Priority Based Budget update presented to the Board			X
May	Spring budget revision		X	
June	Priority Based Budget update presented to the Board			X
	Preliminary Budget presented to the Board for final approval & budget book published			X

2026-27

Preliminary Budget Overview

Budget Process & Assumptions

School district budgets are comprised of revenue and expenditures. Revenue is primarily received based on student enrollment and actual expenditures. The largest percentage of the school district's revenue comes from the state through formulas based on student enrollment.

Of the total district's general fund expenditures, 73% are salaries and benefits. As an educational service organization serving students, it is expected that employee costs would be the largest portion of the budget. The budget reflects contractual commitments, including salaries, benefits and other costs for each labor agreement.

The district makes assumptions based on variables when compiling the district's budget. This section highlights some of the processes and assumptions that are included in the budgeting cycle.

General Education Revenue

General education revenue is the largest component of state aid and is generated by the actual number of students and formula allowances set by the legislature. The 2026-27 state formula allowance for general education aid is $7,683 per pupil unit. Revenue projections are based on October 1 enrollment with assumptions for open, alternative, and other enrollment options.

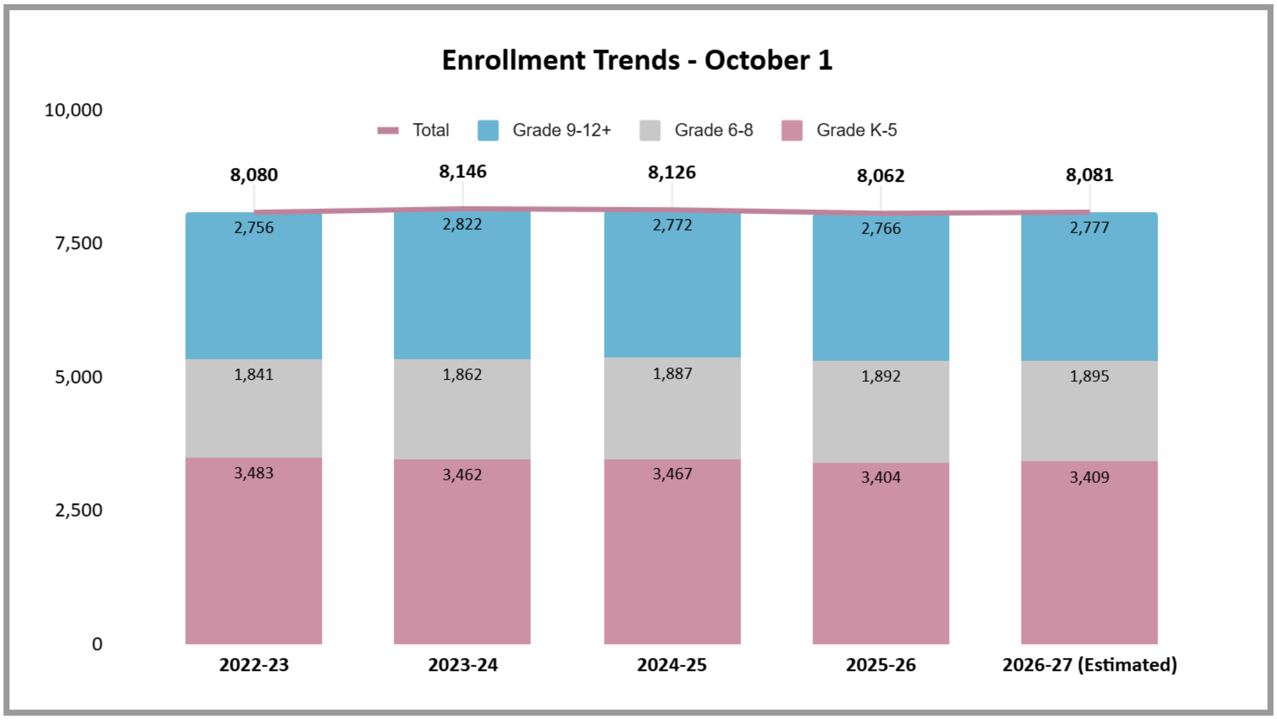
Special Education Revenue

The district's special education revenue is the sum of its initial aid, excess cost aid, and tuition adjustments, all within state special education calculation limits. The amount is then increased by the amount of cross subsidy aid, which increased from 6.43% in FY24 to 44% in FY25 - FY27 as a result of the 2024 legislative session. The state special education revenue calculation involves a multi-step projection review of different reimbursement levels based on the district's characteristics and the category of disability. The aid amount includes reimbursement revenue for special education pupil transportation expenditures, which was adjusted downward in the 2025 legislative session to 95% for FY26 and 90% for FY27. Excess cost aid is another component of revenue that districts receive if there are extremely high levels (formula based) of unreimbursed special education expenditures. Due to the unknown number of students that will be identified as special education students, the district prepares a budget projection with some assumptions for changes in services, knowing that additional monitoring is required due to timing and variability.

Enrollment

The preliminary budget is based on projected enrollment for October 1. An analysis of trend data is completed to prepare enrollment projections for the upcoming school year. Enrollment projections are adjusted due to new information, actual enrollment on October 1, or other changes that may affect enrollment on a districtwide or individual school basis.

As highlighted in the Enrollment Trends graph below, district enrollment is projected to slightly increase during the 2026-27 school year with anticipated increases during the 2027-28 school year and beyond as areas within the district experience new development and population growth.



Staffing Allocations

The district prepares the preliminary budget based on enrollment projections. Staff are allocated to buildings on a student to staff ratio as determined by the Board of Education. The staffing ratios for 2026-27 are listed in the chart to the right. Staffing ratios do not equate to average class sizes and are only used to determine the number of FTE (full time equivalent) assigned to each building. Enrollment is periodically reviewed to ensure consistency with Board approved staffing ratios. Allocations are adjusted as needed to address changes in enrollment throughout the school year.

Class Size Ratios		
Grade	**2025-26**	**2026-27**
Kindergarten - Gr. 1	21.42	21.42
Grades 2-3	25.42	25.42
Grades 4-5	29.42	29.42
Grade 6-8	33.08	33.08
Grades 9-12	33.08	35.00

Employee Contracts
The preliminary budget includes assumptions for all 2026-27 contractual agreements. For 2026-27, the district will continue with a self-funded health insurance plan. Benefit rates include changes for medical and dental insurance, pension contributions, and other benefits as defined by each contractual agreement.

Non-salary Budgets
School budgets, for purposes other than employee salary and benefits, are based on a system of allocation formulas. The chart to the right reflects the supply and material allocations per student for the 2025-26 and 2026-27 school years. For the 2026-27 preliminary budget, the supply and material allocations increased by approximately 2%. The library/media allocations decreased to $2.85 per pupil due to a legislative reduction in school library aid revenue. Schools receive non-salary allocations during the spring budgeting process.

Supply and Material Allocations per Student		
Elementary	**2025-26**	**2026-27**
Supply and Material	$ 32.65	$ 33.30
Library	8.60	2.85
Secondary	**2025-25**	**2026-27**
Supply and Material	$ 63.25	$ 64.50
Library	8.60	2.85

Staff Development
Funds to be used for staff development are based on two percent (2%) of the district's general education aid. For the 2026-27 preliminary budget, this amount is projected to be $1,388,280. The Teaching and Learning Department manages professional development support and professional development days at a districtwide and school level.

Legislative Session
The 2026-27 preliminary budget includes a $2,194 increase in Compensatory Education revenue as a result of a one-year hold harmless provision enacted in the 2026 legislative session. Legislative committee changes to the Special Education funding formula are pending at this time. Any revenue or expenditure changes resulting from the legislative session will be included in the 2026-27 revised budget or future budgetary projections as necessary.

For additional information on the district's 2026-27 Preliminary Budget Guidelines and Assumptions, please refer to Section V.

SECTION II

2026-27 Preliminary Budget

2026-27

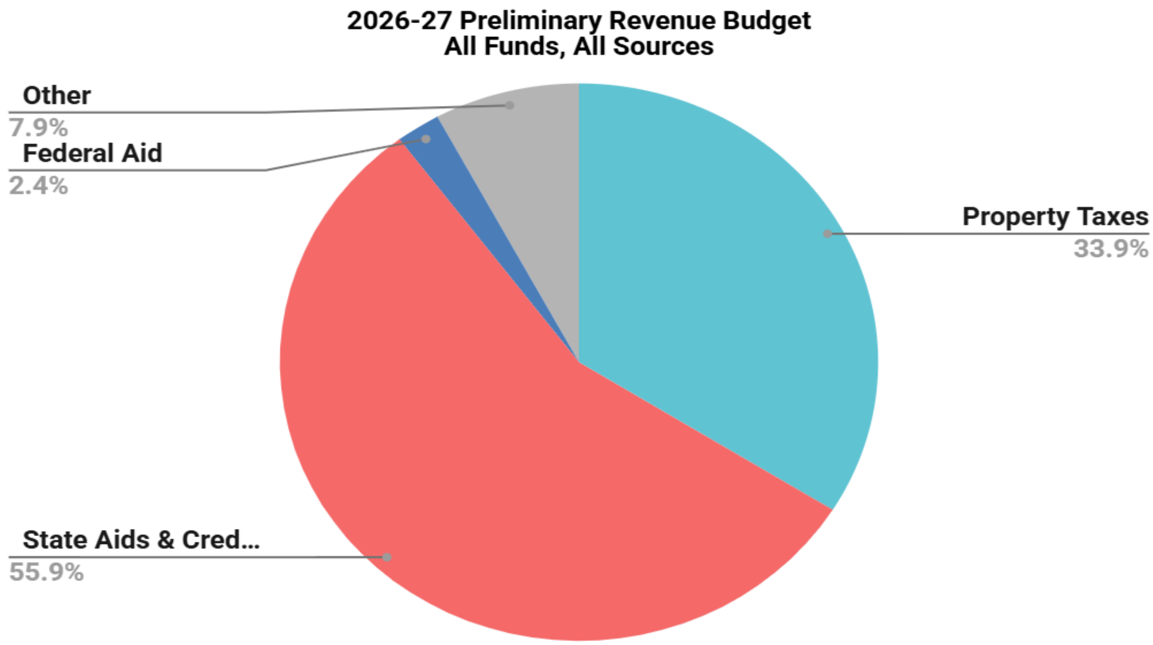
Preliminary Budget

Summary

The 2026-27 Preliminary Budget reflects a total revenue amount of $197,446,485 and a total expenditure amount of $231,100,941. The difference of $33,654,456 includes the planned use of restricted fund balance in the Community Service and the Building Construction funds. For additional budget information by fund, please refer to Section II.

Revenue

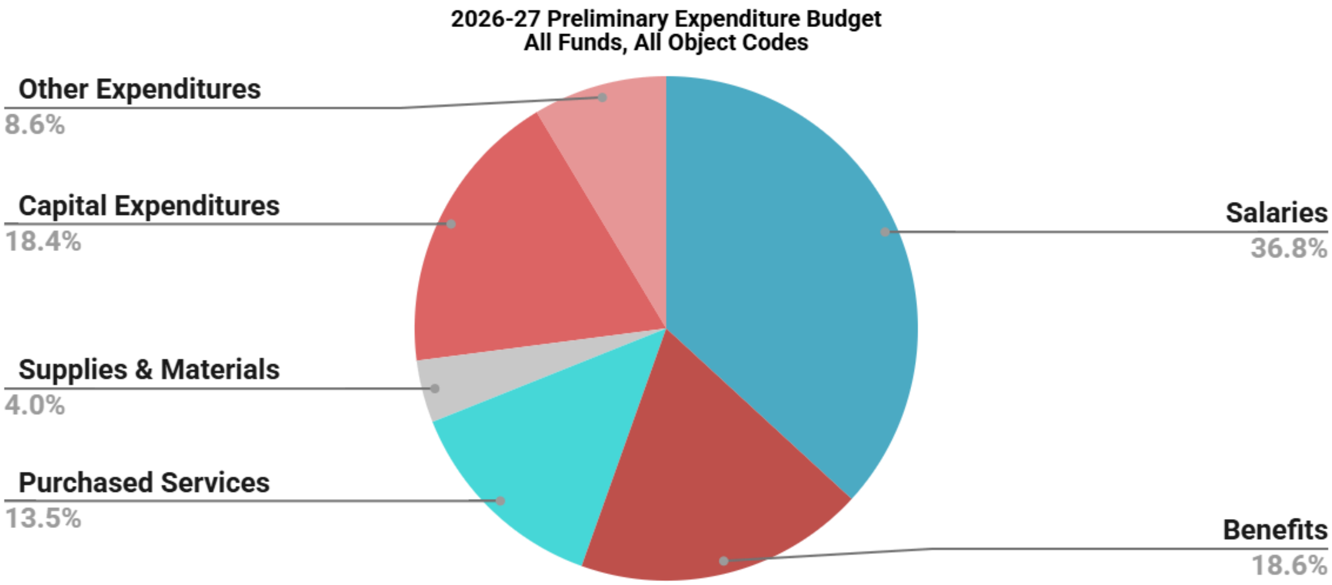
Legislative changes to formulas over the years have changed how revenue is received from the state. Of the total projected revenue for 2026-27, State sources are 55.9%, Property Taxes are 33.9%, Federal Aid is 2.4%, and Other sources are 7.8% (see the chart below).



Note: Minor discrepancies in total percentages are due to rounding.

Expenditures

In a service organization like a public school district, most expenditures consist of salaries and benefits for employees who provide direct or indirect services to students, including teachers, principals, administrators, support staff (custodians, nutrition service workers, paraprofessionals, technical support, coordinators, supervisors, and specialists). For 2026-27, salaries and benefits are 55.4% of the total district budget as shown in the chart below. Purchased services (such as heating, electricity, insurance, and telecommunication costs) are 13.5% of the total budget. Supplies, materials, capital, and other expenditures are 31.1% of the total budget.



Note: Minor discrepancies in total percentages are due to rounding.

2026-27

Preliminary Budget

Fund Detail

General Fund

The General Fund is the primary operating budget for the district. It accounts for revenues and expenditures of the district's operations not accounted for elsewhere. The general fund is used to account for educational activities, district instructional and student support programs, superintendent, district administration, normal operations and maintenance, pupil transportation and capital expenditures. The general fund includes accounts for operating capital, transportation, and other defined categorical expenditures. By statute, the district is required to separately account for these expenditures within the general fund.

General Fund	2024-25 Actual	2025-26 Revised Budget	2026-27 Preliminary Budget	Rev. / Prel. Change	Rev. / Prel. % Change
Beginning Fund Balance	$7,945,725	$6,288,873	$6,288,873	$0	0.00%
Revenues	154,219,593	155,726,534	156,869,428	1,142,894	0.73%
Expenditures	155,876,445	155,726,534	156,869,428	1,142,894	0.73%
Revenues Less Expenditures	(1,656,852)	0	0	0	
Ending Fund Balance	$6,288,873	$6,288,873	$6,288,873	$0	0.00%

The initial fiscal forecast for the 2026-27 school year identified a $5.5 million budget shortfall, with revenue projected at $156.0m and expenditures projected to increase to almost $161.5m. Through the Priority Based Budgeting process, areas within the strategic plan framework were identified and prioritized (ex: High School schedule, Amigos Unidos curriculum, Elementary Staffing model), with other areas recommended for reduction (ex: Transportation, Building support, Special Education, District Administration).

With the final revenue budget projection at $156.9m for 2026-27, the district identified $4.6m in reductions.

Comparison of the 2026-27 Preliminary Budget to the 2025-26 Revised Budget

Revenue
As highlighted in Section I, enrollment is the largest component of the district's general education revenue. There are formula allowances set by the legislature that drive state aid, levy, and categorical revenue calculations. The district is projecting a slight increase in enrollment for 2026-27, resulting in a small increase in revenue available in the General Fund.

Preliminary 2026-27 revenue is ***$1.1m*** more than the 2025-26 Revised Budget, primarily due to overall changes in each revenue source as follows: ***State Aid increase of $2.8m*** (includes the basic general education formula allowance increase of 2.69% in addition to an increase in Special Education aid based on the current state funding formula); ***Property Tax Levy decrease of $1.1m*** (decreases to the Other Post Employment Benefits (OPEB) Levy in addition to a decrease in the Long Term Facilities Maintenance (LTFM Levy); ***Federal decrease of $0.2m*** (due to one-time only grant funding); and ***Other Revenue decrease of $0.4m*** (interest revenue and gifts and bequests, as these funding sources will be part of the revised budget based on activity throughout the school year). A summary of revenue by source and additional details by line item are highlighted in Section III.

Expenditures
Preliminary 2026-27 expenditures are ***$1.1m*** more than the 2025-26 Revised Budget primarily due to inflationary increases in salaries & benefits, and other fixed costs, such as utilities and property & liability insurance. Through the Priority Based Budgeting process, General Fund salaries & benefits, purchased services, supplies, materials & other expenditures were reviewed and prioritized within the strategic plan framework, in order to identify $4.6m in reductions. Program category changes in expenditures are highlighted on the following pages with further detail in Section III. The 2026-27 General Fund ending fund balance is projected to remain stable at $6.3m, with unassigned fund balance at 1.3%.

Expenditures by Program
The district reports expenditures by program category series as defined by Uniform Financial Accounting and Reporting Standards (UFARS) which is mandated by the Minnesota Department of Education. The table below shows the total General Fund by program category series and compares the 2025-26 Revised Budget to the 2026-27 Preliminary Budget.

General Fund Program Category	2024-25 Actual	2025-26 Revised Budget	2026-27 Preliminary Budget	Rev. / Prel. Change	Rev. / Prel. % Change
Administration	$4,086,911	$4,281,178	$4,369,498	$88,320	2.02%
District Support Services	8,037,676	9,191,675	9,399,331	207,656	2.26%
Regular & Vocational Instruction	62,071,746	64,887,125	64,702,268	(184,857)	-0.28%
Special Education Instruction	29,456,376	28,611,615	29,080,532	468,917	1.64%
Community Education and Services	229,788	0	0	0	0.00%
Instructional Support Services	10,314,372	9,266,269	8,366,574	(899,695)	-9.71%
Pupil Support Services	6,259,475	6,114,572	6,112,079	(2,493)	-0.04%
Transportation (Pupil Support)	14,056,944	13,196,504	13,278,727	82,223	0.62%
Operations and Maintenance	20,325,706	19,032,596	20,344,441	1,311,845	6.89%
Fiscal and Other Fixed Costs	1,037,452	1,145,000	1,215,978	70,978	6.20%
Total	**$155,876,445**	**$155,726,534**	**$156,869,428**	**$1,142,894**	**0.73%**

Administration
This program series accounts for the expenditures related to the Board of Education, Superintendent, Teaching and Learning administration, school principals, support staff, and the related supplies and materials for these departments.

The increase of $88,320 as compared to the 2025-26 revised budget is reflective of planned staffing levels and contractual agreements (employee salary and benefit increases), including a full year of the paid family medical leave tax (employer share).

District Support Services
This program series accounts for expenditures related to districtwide support in the areas of Finance, Administrative Services, Human Resources, Admin Technology, Communications, and the related supplies and materials for these departments.

The increase of $207,656 as compared to the 2025-26 revised budget is reflective of planned staffing levels and contractual agreements (employee salary and benefit increases) and a full year of the paid family medical leave tax (employer share). In addition, there was an increase in the administrative chargeback to both the Nutrition and Community Service Funds

Regular and Vocational Instruction
This program series accounts for elementary, secondary, and vocational teachers, instructional paraprofessionals, extra and co-curricular staff, and the related supplies and materials for these departments.

The overall decrease of $184,857 as compared to the 2025-26 revised budget is due to an increase in employee contractual agreements (employee salary and benefit increases) with decreases in projected staffing levels as a result of Priority Based Budgeting. Also contributing to the decrease are reductions in Title I, II, and III funds for FY27.

Special Education Instruction
This program series accounts for all student support services administrators, special education teachers, special education paraprofessionals, special education support staff, psychologists, and related supplies and materials for these departments.

The overall increase of $468,917 as compared to the 2025-26 revised budget is due an increase in employee contractual agreements (employee salary and benefit increases), planned staffing levels as a result of Priority Based Budgeting, net reductions in federal special education grant expenditures.

Community Education and Services
This program series accounts for programs, events, and activities beyond the scope of regular K-12 schooling that enable people of all ages to develop skills and abilities, to find local resources and services and to work toward improvements in their lives and communities.

Previously, fluctuations in this program series were due to funding for the school readiness plus program, which transitioned to the voluntary pre-k (VPK) program in 2025-26. Funding for VPK is accounted for in the General Fund. For FY27, the preliminary budget for VPK is $290,586, which is up $8,419 from the 2025-26 revised budget amount of $282,167. This is the current estimate for FY27 VPK based on available data.

Instructional Support Services
This program accounts for the expenditures related to assistant principals, assistant principals' support staff, instructional support services staff, and librarians. This program also accounts

for curriculum expenditures and related staff development as well as related supplies and materials for these departments.

The decrease of $899,695 as compared to the 2025-26 revised budget is due to a reduction in staffing as a result of Priority Based Budgeting (i.e. Elementary & Middle School support staff, College & Career support) net contractual agreements (employee salary and benefit increases) and an overall reduction in federal, state and local grants. These funding sources will be included in the 2026-27 revised budget based on award activity throughout the fiscal year. Reductions were also made to Teaching and Learning and Staff Development budgets as part of the Priority Based Budgeting process.

Pupil Support Services (Excluding Transportation)
This program accounts for expenditures related to counselors, lunchroom supervision, related support staff, and related supplies and materials for these departments.

The decrease of $2,493 as compared to the 2025-26 revised budget is primarily due to planned staffing and reduced assignments as a result of Priority Based Budgeting.

Transportation (Pupil Support)
There is an overall increase of $82,223 as compared to the 2025-26 revised budget for transportation expenditures, due to a Priority Based Budgeting reduction of approximately $668,500 in regular ed transportation costs as the district continues its review for cost savings and efficiencies in this area.

Operations and Maintenance (Sites & Buildings)
Expenditures in this program category include Long Term Facility Maintenance (LTFM), capital expenditure projects, custodial, grounds and related support staff, utilities, and related supplies and materials for these departments.

The increase of $1,311,845 as compared to the 2025-26 revised budget is mainly due to inflationary costs for services and utilities (snow removal/lawn care, laundry service, water/sewer, electricity, natural gas, recycling, other repair and maintenance services) net a decrease in Long Term Facility Maintenance (LTFM) general fund projects. As a result of Priority Based Budgeting, there was an increase in the custodial staff FTEs as the district prepares to open the new school buildings in the fall.

Fiscal and Other Fixed Costs
This program accounts for expenditures related to the premiums for the district's property and liability and errors and omissions insurance as well as payments of principal and interest for the retirement of long-term and non-bonded obligations.

The increase of $70,978 as compared to the 2025-26 revised budget is due to an increase in property and liability insurance.

General Fund Capital Expenditure Account
Included within the general fund is operating capital revenue (state aid and property tax levy) that provides funding for capital expenditures that meet state statutory guidelines. For 2026-27, operating capital revenue is projected at approximately $2.2m. These funds support districtwide expenditures related to capital needs and curriculum purchases. The 2026-27 beginning General Fund Restricted Operating Capital fund balance is projected to be at $2.8m.

Food Service Fund

The Nutrition Services (Food Service) Fund accounts for revenues and expenditures for providing nutrition services in schools. Stillwater Area Public Schools has partnered with Mahtomedi Public School District, Northeast Metro 916 Intermediate School District and other charter/private schools to provide nutrition services on a fee basis. The additional revenue helps to cover administrative costs related to Nutrition Services.

Food Service Fund	2024-25 Actual	2025-26 Revised Budget	2026-27 Preliminary Budget	Rev. / Prel. Change	Rev. / Prel. % Change
Beginning Fund Balance	$3,774,272	$4,224,246	$4,190,293	$(33,953)	-.80%
Revenues	7,889,589	7,944,911	8,473,097	528,186	6.65%
Expenditures	7,439,615	7,978,864	8,410,590	431,726	5.41%
Revenues less Expenditures	449,974	(33,953)	62,507	96,460	
Ending Fund Balance	$4,224,246	$4,190,293	$4,252,800	$62,507	1.49%

For fiscal year 2026-27, revenues are projected to increase by $528,186 due to state aid and sales to pupils. Expenditures are projected to increase by $431,726 overall in salaries & benefits (as related to employee contractual agreements), smallwares and food. The projected 2026-27 Food Service ending fund balance is $4,252,800, or an increase of $62,507.

Community Service Fund

The Community Service Fund is used to record all revenues and expenditures related to providing a community education program.

Community Service Fund	2024-25 Actual	2025-26 Revised Budget	2026-27 Preliminary Budget	Rev. / Prel. Change	Rev. / Prel. % Change
Beginning Fund Balance	$571,694	$731,224	$740,750	$9,526	1.29%
Revenues	9,413,555	9,992,396	10,484,989	492,593	4.93%
Expenditures	9,254,026	9,982,870	10,851,000	868,130	8.70%
Revenues less Expenditures	159,531	9,526	(366,011)	(375,537)	
Ending Fund Balance	$731,224	$740,750	$374,739	$(366,011)	-49.41%

For fiscal year 2026-27, overall revenue is projected to increase by $492,593 as a result of increases to School Age Care and School Readiness, net decreases in Adult Basic Education and Early Childhood Family Education (state & federal sources). Expenditures are projected to increase by $868,130, which includes salary and benefit increases as related to contractual agreements and changes to programming for 2026-27. Through the Priority Based Budgeting process, the middle school athletics program is transitioning from the General Fund to the Community Service Fund in 2026-27. The projected 2026-27 Community Service fund balance is $374,739, which is a planned decrease of $366,011.

Building Construction Fund

The Building Construction Fund is used to record financial activity related to a building construction program, resulting from the sale of general obligation bonds (school building or facilities maintenance) or certificates of participation.

		2025-26	2026-27		
Building Construction Fund	**2024-25**	**Revised**	**Preliminary**	**Rev. / Prel.**	**Rev. / Prel.**
	Actual	**Budget**	**Budget**	**Change**	**% Change**
Beginning Fund Balance	$113,257,585	$81,166,690	$51,012,255	$(30,154,435)	-37.56%
Revenues	5,076,246	94,985,607	1,000,000	(93,985,607)	-98.95%
Expenditures	37,167,142	125,140,042	35,229,556	(89,910,486)	-71.85%
Revenues less Expenditures	(32,090,896)	(30,154,435)	(34,229,556)	(4,075,121)	
Ending Fund Balance	$81,166,690	$51,012,255	$16,782,699	$(34,229,556)	-68.30%

In November 2023, district voters authorized the issuance of up to $174,845,000 in General Obligation School Building bonds in a bond referendum election. Funds were dedicated to construction projects, including the replacement of Lake Elmo Elementary and Andersen Elementary with new buildings, Oak-Land Middle School improvements, Stillwater Area High School improvements, in addition to safety and security improvements throughout the district. On January 9, 2024, the School Board approved the resolution awarding the sale of General Obligation School Building, Facilities Maintenance and Refunding Series 2024A bonds. Proceeds from the General Obligation School Building and Facilities Maintenance bonds in the amount of $118,461,415 were deposited in separate accounts in the building construction fund.

During fiscal year 2025-26, the district issued the remaining $74,845,000 of General Obligation School Building bonds and $15,490,000 of Facilities Maintenance bonds for an additional total of $94,985,607 in other financing sources (with bond premium and interest) being added to the fund. Projected expenditures through fiscal year 2025-26 are anticipated to be $125,140,042 based on capital project schedule estimates reviewed and provided by the operations department.

The projected 2025-26 Building Construction ending fund balance is $51,012,255.

The 2026-27 Preliminary Budget reflects projected revenue for interest earnings, with no anticipated bond sale activity during fiscal year 2026-27. Total 2026-27 expenditures include $31,496,895 from School Building bonds and $3,732,661 from Facilities Maintenance bond activity.

The projected 2026-27 Building Construction ending fund balance is $16,782,699.

Debt Service Fund

The Debt Service Fund is used to account for the district's principal and interest payments as well as the revenue received for such payments. The principal and interest payments are for the district's long-term debt or approved bond issues. For fiscal year 2026-27, projected revenue and expenditures reflect actual bond and interest activity within the debt service fund.

Debt Service Fund	2024-25 Actual	2025-26 Revised Budget	2026-27 Preliminary Budget	Rev. / Prel. Change	Rev. / Prel. % Change
Beginning Fund Balance	$2,613,340	$3,190,210	$4,232,323	$1,042,113	32.67%
Revenues	17,325,690	18,551,334	20,611,971	2,060,637	11.11%
Expenditures	16,748,820	17,509,221	19,733,367	2,224,146	12.70%
Revenues less Expenditures	576,870	1,042,113	878,604	(163,509)	
Ending Fund Balance	$3,190,210	$4,232,323	$5,110,927	$878,604	20.76%

Custodial/Trust Fund

The Custodial Fund represents a flow through mechanism in which the district receives and distributes funds for scholarships, but has no financial benefit from or control over. For fiscal year 2026-27, projected revenue and expenditures reflect estimated scholarship activity within the custodial fund.

Custodial/Trust Fund (Scholarships)	2024-25 Actual	2025-26 Revised Budget	2026-27 Preliminary Budget	Rev. / Prel. Change	Rev. / Prel. % Change
Beginning Fund Balance	$51,426	$52,837	$52,837	$0	0.00%
Revenues	25,810	7,000	7,000	0	0.00%
Expenditures	24,399	7,000	7,000	0	0.00%
Revenues less Expenditures	1,411	0	0	0	
Ending Fund Balance	$52,837	$52,837	$52,837	$0	0.00%

OPEB Trust

In February 2009, $19.2 million of general obligation taxable OPEB (Other Post Employment Benefits) bonds were sold to be used to help offset future retirement expenditures. The funds were placed in an irrevocable trust, dedicated to only be used for this purpose. As of June 30, 2025, the net position balance in the OPEB trust account was $4,286,050.

Internal Service Fund

On July 1, 2012, the district went to self-funded insurance for health insurance. The activity for both health and dental insurance are now in an internal service fund. As of June 30, 2025, the net position balance in the internal service fund for health and dental insurance was $462.

2026-27 Projected Revenues, Expenditures, and Fund Balance by Fund

Fund	Projected Fund Balance 6/30/26	2026-27 Revenue Budget	2026-27 Expenditure Budget	Projected Fund Balance 6/30/27
General Fund	6,288,873	156,869,428	156,869,428	6,288,873
Food Service Fund	4,190,293	8,473,097	8,410,590	4,252,800
Community Service Fund	740,750	10,484,989	10,851,000	374,739
Sub-Total Operating Funds	**11,219,916**	**175,827,514**	**176,131,018**	**10,916,412**
Building Construction Fund	51,012,255	1,000,000	35,229,556	16,782,699
Debt Service Fund	4,232,323	20,611,971	19,733,367	5,110,927
Sub-Total Non-Operating Funds	**55,244,578**	**21,611,971**	**54,962,923**	**21,893,626**
Trust Fund	52,837	7,000	7,000	52,837
Total All Funds	**66,517,331**	**197,446,485**	**231,100,941**	**32,862,875**

SECTION III

Summary

SUMMARY OF REVENUES BY SOURCE CATEGORY AND FUND

Fund	Source Category	2024-25 Actual	Pct. of Total	2025-26 Rev. Bud.	2026-27 Prelim. Budget	Pct. of Total	Revised - Preliminary Percent Change	Revised - Preliminary Amount Change
01	**General Fund**							
	Property Taxes	44,481,414	28.84%	46,547,831	45,468,809	28.99%	-2.32%	(1,079,022)
	State Aids & Credits	101,478,487	65.80%	102,153,691	104,922,573	66.89%	2.71%	2,768,882
	Federal Aid	2,732,937	1.77%	2,633,112	2,488,546	1.59%	-5.49%	(144,566)
	Other	5,526,755	3.58%	4,391,900	3,989,500	2.54%	-9.16%	(402,400)
	Total General Fund	154,219,593	100.00%	155,726,534	156,869,428	100.00%	0.73%	1,142,894
02	**Food Service**							
	State Aids & Credits	3,715,001	47.09%	3,780,450	3,996,100	47.16%	5.70%	215,650
	Federal Aid	2,130,848	27.01%	2,224,828	2,252,794	26.59%	1.26%	27,966
	Other	2,043,741	25.90%	1,939,633	2,224,203	26.25%	14.67%	284,570
	Total Food Service	7,889,589	100.00%	7,944,911	8,473,097	100.00%	6.65%	528,186
04	**Community Service**							
	Property Taxes	1,255,850	13.34%	1,356,471	1,316,020	12.55%	-2.98%	(40,451)
	State Aids & Credits	1,121,960	11.92%	1,173,735	1,184,890	11.30%	0.95%	11,155
	Federal Aid	11,016	0.12%	9,074	3,202	0.03%	-64.71%	(5,872)
	Other	7,024,731	74.62%	7,453,116	7,980,877	76.12%	7.08%	527,761
	Total Comm. Service	9,413,556	100.00%	9,992,396	10,484,989	100.00%	4.93%	492,593
06	**Building Construction**							
	Other	5,076,247	100.00%	500,000	1,000,000	100.00%	100.00%	500,000
	Sale of Bonds	0	0.00%	94,485,607	0	0.00%	0.00%	(94,485,607)
	Total Bldg Construction	5,076,247	100.00%	94,985,607	1,000,000	100.00%	-98.95%	(93,985,607)
07	**Debt Service**							
	Property Taxes	16,827,679	97.13%	17,940,334	20,120,971	97.62%	12.15%	2,180,637
	State Aids & Credits	193,458	1.12%	111,000	191,000	0.93%	72.07%	80,000
	Other	304,553	1.76%	500,000	300,000	1.46%	-40.00%	(200,000)
	Sale of Bonds	0	0.00%	0	0	0.00%	0.00%	0
	Total Debt Service	17,325,690	100.00%	18,551,334	20,611,971	100.00%	11.11%	2,060,637
18	**Custodial Fund**							
	Other	25,810	100.00%	7,000	7,000	100.00%	0.00%	0
	All Funds							
	Property Taxes	62,564,943	32.26%	65,844,636	66,905,800	33.89%	1.61%	1,061,164
	State Aids & Credits	106,508,906	54.92%	107,218,876	110,294,563	55.86%	2.87%	3,075,687
	Federal Aid	4,874,800	2.51%	4,867,014	4,744,542	2.40%	-2.52%	(122,472)
	Other	20,001,837	10.31%	14,791,649	15,501,580	7.85%	4.80%	709,931
	Sale of Bonds	0	0.00%	94,485,607	0	0.00%	-100.00%	(94,485,607)
	Total All Funds	**193,950,485**	**100.00%**	**287,207,782**	**197,446,485**	**100.00%**	**-31.25%**	**(89,761,297)**

Note: Minor discrepancies in total percentages are due to rounding.

SUMMARY OF EXPENDITURES BY OBJECT CATEGORY AND FUND

Fund	Object Category	2024-25 Actual	Pct. of Total	2025-26 Rev. Bud.	2026-27 Prelim. Budget	Pct. of Total	Revised - Preliminary Percent Change	Revised - Preliminary Amount Change
01	**General Fund**							
	Salaries	75,409,297	48.378%	76,399,900	75,393,689	48.06%	-1.32%	(1,006,211)
	Benefits	36,316,834	23.298%	37,722,500	39,397,645	25.11%	4.44%	1,675,145
	Purchased Services	29,609,114	18.995%	28,565,910	28,943,516	18.45%	1.32%	377,606
	Supplies & Materials	4,513,469	2.896%	5,726,959	5,426,653	3.46%	-5.24%	(300,306)
	Capital Expenditures	9,113,601	5.847%	7,194,032	7,583,174	4.83%	5.41%	389,142
	Debt Service	0	0.000%	0	0	0.00%	0.00%	0
	Other Expenditures	914,130	0.586%	117,233	124,751	0.08%	6.41%	7,518
	Total General Fund	155,876,445	100.00%	155,726,534	156,869,428	100.00%	0.73%	1,142,894
02	**Food Service**							
	Salaries	2,549,792	34.27%	2,715,640	3,003,350	35.71%	10.59%	287,710
	Benefits	1,167,446	15.69%	1,226,383	1,433,721	17.05%	16.91%	207,338
	Purchased Services	275,993	3.71%	429,545	417,025	4.96%	-2.91%	(12,520)
	Supplies & Materials	3,233,537	43.46%	3,403,596	3,402,794	40.46%	-0.02%	(802)
	Capital Expenditures	209,121	2.81%	200,000	150,000	1.78%	-25.00%	(50,000)
	Other Expenditures	3,726	0.05%	3,700	3,700	0.04%	0.00%	0
	Total Food Service	7,439,615	100.00%	7,978,864	8,410,590	100.00%	5.41%	431,726
04	**Community Service**							
	Salaries	5,520,679	59.66%	5,808,441	6,431,950	59.28%	10.73%	623,509
	Benefits	1,722,926	18.62%	1,984,770	2,132,720	19.65%	7.45%	147,950
	Purchased Services	1,634,717	17.66%	1,720,796	1,807,089	16.65%	5.01%	86,293
	Supplies & Materials	337,060	3.64%	415,163	440,006	4.05%	5.98%	24,843
	Capital Expenditures	10,524	0.11%	23,650	9,500	0.09%	-59.83%	(14,150)
	Other Expenditures	28,120	0.30%	30,050	29,735	0.27%	-1.05%	(315)
	Total Comm. Service	9,254,026	100.00%	9,982,870	10,851,000	100.00%	8.70%	868,130
06	**Building Construction**							
	Salaries	294,612	0.79%	424,548	254,728	0.72%	-40.00%	(169,820)
	Benefits	119,930	0.32%	198,500	119,100	0.34%	-40.00%	(79,400)
	Purchased Services	22,972,617	61.81%	9,707,605	0	0.00%	-100.00%	(9,707,605)
	Supplies & Materials	0	0.00%	6,000	0	0.00%	-100.00%	(6,000)
	Capital Expenditures	13,779,982	37.08%	113,350,189	34,855,728	98.94%	-69.25%	(78,494,461)
	Other Expenditures	0	0.00%	1,453,200	0	0.00%	0.00%	(1,453,200)
	Total Bldg. Const.	37,167,142	100.00%	125,140,042	35,229,556	100.00%	-71.85%	(89,910,486)
07	**Debt Service**							
	Other	16,748,820	100.00%	17,509,221	19,733,367	100.00%	12.70%	2,224,146
18	**Custodial Fund**							
	Other	24,399	100.00%	7,000	7,000	100.00%	0.00%	0
	All Funds							
	Salaries	83,774,380	36.98%	85,348,529	85,083,717	36.82%	-0.31%	(264,812)
	Benefits	39,327,136	17.36%	41,132,153	43,083,186	18.64%	4.74%	1,951,033
	Purchased Services	54,492,441	24.06%	40,423,856	31,167,630	13.50%	-22.90%	(9,256,226)
	Supplies & Materials	8,084,065	3.57%	9,545,718	9,269,453	4.00%	-2.89%	(276,265)
	Capital Expenditures	23,113,228	10.20%	120,767,871	42,598,402	18.43%	-64.73%	(78,169,469)
	Other Expenditures	17,719,196	7.82%	19,120,404	19,898,553	8.61%	4.07%	778,149
	Total All Funds	**226,510,447**	**100.00%**	**316,338,531**	**231,100,941**	**100.00%**	**-26.95%**	**(85,237,590)**

Note: Minor discrepancies in total percentages are due to rounding.

BUDGET DETAIL SUMMARY

REVENUE BY SOURCE

SRC	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
	GENERAL FUND					
001	Property Tax Levy-General	41,564,746	45,747,106	44,584,834	-1,162,272	Decrease is mainly in the Other Post Employment Benefits (OPEB) and Long Term Facilities Maintenance (LTFM) levy sources.
004	TIF	3,396	0	0	0	
005	Reemployment Compensation Levy	49,699	49,699	132,949	83,250	Increase is due to the Pay 2026 reemployment levy and adjustments.
009	Fiscal Disparities	2,112,194	0	0	0	
010	County Apportionment	748,527	748,526	748,526	0	
019	Misc. County Tax Revenue	2,852	2,500	2,500	0	
021	Tuition - MN School Districts	2,552	0	0	0	
022	Sped Purch Serv from Oth MN	78,507	50,000	50,000	0	
041	Tuition - Out of State	0	9,600	0	-9,600	
050	Fees from Patrons	824,162	716,000	751,000	35,000	
051	Parking Fees	159,810	165,000	160,000	-5,000	
053	Transcript Fees	284	0	0	0	
060	Admission/Student Act Revenue	213,903	205,000	205,000	0	
071	Medical Assistance Revenue	258,948	230,000	260,000	30,000	
088	E-Rate Revenue	436,843	300,000	300,000	0	
092	Interest Earnings	703,027	600,000	400,000	-200,000	Projected interest earnings
093	Rent for School Facilities	643,047	452,900	454,000	1,100	
096	Gifts & Bequests	1,166,551	1,202,500	970,500	-232,000	The 2026-27 preliminary budget includes an estimate for Gifts & Bequests revenue. Any variances from the current projection will be included in the revised budget.
099	Miscellaneous Local Revenue	397,008	324,500	318,500	-6,000	The 2026-27 preliminary budget includes an estimate for miscellaneous revenue. Any variances from the current projection will be included in the revised budget.
201	Endowment Fund Apportionment	563,458	616,089	616,089	0	
211	General Education Aid	70,666,095	72,983,396	74,932,888	1,949,492	For FY27, there was a 2.69% increase to the state formula allowance for general education aid, in addition to a slight increase in projected enrollment for the next school year.
213	Shared Time Aid	24,483	24,500	24,500	0	
227	Abatement Aid	2,576	3,155	2,678	-477	
234	Homestd/Agr Mrkt Value Credit	16,760	14,000	14,000	0	
300	State Aids Rec'd from DOE	3,961,570	3,444,958	3,491,862	46,904	Increase in categorical revenue, mainly in Achievement & Integration and Q-Comp
308	Telecomm/Int Access Equity Aid	53,675	0	0	0	
360	Special Education Aid	24,994,394	24,294,796	25,405,587	1,110,791	Increase in Special Education aid is based on current state funding formulas and projected 2025-26 Special Education expenditure activity
369	Other State Credits	455,006	414,000	434,969	20,969	Projected hourly worker unemployment revenue
370	Other Aid from DOE	384,171	358,797	0	-358,797	The 2026-27 preliminary budget does not include any Other Aid. Many are related to one-time only grants, which will be included in the revised budget as awards and information becomes available.
397	TRA/PERA Special Funding Revenue	356,298	0	0	0	
400	Federal Aids rec'd thru DOE	2,690,147	2,578,104	2,488,546	-89,558	Decrease is due to one-time only federal entitlement grant carryover/funding in 2025-26. Any new grants will be included within the 2026-27 revised budget.
405	Federal Aid rec'd thru Other	45,750	49,388	0	-49,388	The 2026-27 revised budget will include Federal grant awards.
500	Federal Aids rec'd from Fed	-2,960	5,620	0	-5,620	
619	Cost of Materials for Profit	-90,703	-90,000	-90,000	0	
620	Sales of Materials for Profit	285,019	195,500	195,500	0	
621	Sale of Materials Purch-Resale	5,233	10,000	10,000	0	
624	Sale of Equipment	12,267	10,000	5,000	-5,000	
625	Insurance Recovery	0	10,900	0	-10,900	
628	Judgements for School District	0	0	0	0	
649	Permanent Transfers from Other Funds	430,298	0	0	0	
	Total	**154,219,593**	**155,726,534**	**156,869,428**		

BUDGET DETAIL SUMMARY

REVENUE BY SOURCE

SRC	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
	FOOD SERVICE FUND					
021	Sales to Mahtomedi	1,038,317	1,002,893	1,127,000	124,107	
092	Interest Earnings	142,847	75,000	100,000	25,000	Projected interest earnings
096	Gifts/Bequests	0	0	2,000	2,000	
300	State Aids Rec'd from DOE	3,715,001	3,780,450	3,996,100	215,650	Increased to reflect projection for state aid and participation
400	Federal Aids Rec'd thru DOE	9,418	0	0	0	
471	School Lunch Program	493,598	510,000	532,000	22,000	
472	Free and Reduced Lunch Program	834,281	842,000	861,000	19,000	
474	Commodity Distribution Program	406,530	487,828	476,394	-11,434	
476	School Breakfast Program	360,784	375,000	377,400	2,400	
479	Summer Food Service Program	26,237	10,000	6,000	-4,000	
601	Food Service Sales to Pupils	650,289	664,987	766,458	101,471	Projected increase in sales
602	Food Service Sale of Milk	2,321	1,478	1,645	167	
606	Food Service Sales to Adults	43,719	35,775	43,950	8,175	
608	Special Function Food Sales	166,170	159,500	182,400	22,900	
624	Sale of Equipment	79	0	750		
	Total	**7,889,589**	**7,944,911**	**8,473,097**		
	COMMUNITY SERVICE FUND					
001	Property Tax Levy-General	1,205,468	1,356,471	1,316,020	-40,451	Decrease is mainly in Early Childhood Family Education, with other changes to Community Education programs.
009	Fiscal Disparities	50,382	0	0		
021	Tuition from MN School Dists	225,110	260,640	260,640	0	
040	Tuition	1,366,164	1,327,189	1,502,922	175,733	Increase is due to School Readiness
050	Fees from Patrons	462,978	424,393	435,014	10,621	
092	Interest Earnings	73,855	50,000	50,000	0	
096	Gifts & Bequests	77,124	56,533	72,750	16,217	
099	Miscellaneous Local Revenue	19,119	24,700	29,200	4,500	
227	Abatement Aid	646	1,408	1,214	-194	
234	Homestd/Agr Mrkt Value Credit	1,021	0	0	0	
300	State Aids Rec'd from DOE	602,371	579,718	606,545	26,827	
301	Nonpublic Aid	100,184	174,713	174,713	0	
369	Other State Credits	189,846	190,000	200,000	10,000	
370	Other Aid from DOE	227,893	227,896	202,418	-25,478	
405	Federal Aid Rec'd thru Other	11,016	9,074	3,202	-5,872	
510	Adults with Disabilities	3,238	4,000	3,500	-500	
548	Gymnastics	88,756	85,145	75,472	-9,673	
549	Aquatics	39,370	29,000	32,000	3,000	
551	Adult Athletics	21,019	7,000	10,000	3,000	
552	Adult Enrichment	47,308	79,950	109,000	29,050	
553	Youth Athletics	283,442	240,000	455,000	215,000	Increase is mainly due to the Middle School Athletics program.
554	Camps and Clinics	176,486	160,000	176,000	16,000	
562	Instructional Music	45,302	70,309	79,255	8,946	
564	Special Events	195,882	215,000	217,000	2,000	
570	School Age Care Tuition	2,834,593	3,472,819	3,459,791	-13,028	

BUDGET DETAIL SUMMARY

REVENUE BY SOURCE

SRC	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
571	School Age Care Preschool	138,445	109,556	166,651	57,095	Increase is related to School Age Care fees.
585	Youth Development/Youth Serv	432,274	440,000	440,000	0	
591	Facilities Use	484,958	380,500	390,000	9,500	
592	Turf Fields Use	9,309	16,382	16,682	300	
	Total	**9,413,556**	**9,992,396**	**10,484,989**		
	BUILDING CONSTRUCTION FUND					
092	Interest Earnings	5,076,247	500,000	1,000,000	500,000	Projected interest earnings
099	Misc. Local Revenue	0	0	0	0	
631	Sale of Bonds	0	94,485,607	0	-94,485,607	No anticipated bond sale activity during 2026-27
	Total	**5,076,247**	**94,985,607**	**1,000,000**		
	DEBT SERVICE FUND					
001	Property Tax Levy-General	16,145,865	17,940,334	20,120,971	2,180,637	Increase is related to the Debt Service levy (Pay26, approved in December 2025)
009	Fiscal Disparities	681,814	0	0	0	
092	Interest Earnings	304,553	500,000	300,000	-200,000	Projected interest earnings
234	Homestd/Agr Mrkt Value Credit	13,826	11,000	11,000	0	
258	Other State Credits	179,632	100,000	180,000	80,000	Projected increase in Other state credits
631	Sale of Bonds	0	0	0	0	
	Total	**17,325,690**	**18,551,334**	**20,611,971**		
	CUSTODIAL FUND (SCHOLARSHIPS)					
	All Gift Directed Revenues	25,810	7,000	7,000		
	Total	**25,810**	**7,000**	**7,000**		

BUDGET DETAIL SUMMARY

EXPENDITURE BY OBJECT

OBJ	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
	GENERAL FUND					
100	Administrators	2,497,043	2,624,572	2,450,220	-174,352	Overall change reflects a reduction in staffing levels as a result of Priority Based Budgeting (2 FTEs) in addition to an increase in the employee contractual agreement.
101	School Board	35,772	46,108	38,766	-7,342	Reflects projected compensation levels
110	Principals	2,608,174	2,672,220	2,643,578	-28,642	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement.
120	Supervisors	852,669	968,272	904,504	-63,768	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement.
121	Confidential/Specialists	1,830,110	1,557,114	1,596,376	39,262	Overall change reflects an increase in the employee contractual agreement.
122	Subs-Health Specialists	6,269	10,000	10,000	0	
140	Teachers	44,259,114	45,316,470	43,735,836	-1,580,634	Overall change reflects an increase in the employee contractual agreement with planned changes to FTE staffing levels as related to Priority Based Budgeting in the following areas: ALC FTE reduction, High School (PSEO) FTE reduction, High School FTE reduction (35:1 change), GATE FTE reduction, Math Interventionist FTE reduction, Elementary Staffing Model FTE reduction, Special Education FTE reduction, and a High School schedule FTE increase.
141	Paraprofessionals	801,166	1,131,629	1,300,204	168,575	Overall increase reflects planned changes to staffing levels as a result of Priority Based Budgeting (an increase due to the TA Elementary staffing model and a decrease due to general education para reductions), in addition to an increase in the employee contractual agreement.
142	Subs-Paraprofessionals	1,272	5,300	5,300	0	
143	Coordinators	1,765,673	1,728,855	1,659,710	-69,145	Overall change reflects a reduction in staffing levels as as result of Priority Based Budgeting (BARR, Special Education, and ALC), an increase in a 1.0 FTE Amigos Unidos coordinator, and an increase in the employee contractual agreement.
144	Librarians	303,965	0	0	0	
145	Subs-Teacher	68,610	2,486	2,486	0	
150	Subs-Teacher School Business	9,570	8,120	8,182	62	
151	Occupational Therapists	429,660	460,378	491,027	30,649	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement
152	Speech Language Pathologists	2,333,475	2,422,564	2,425,525	2,961	Overall change reflects a reduction in staffing levels as a result of Priority Based Budgeting in addition to an increase in the employee contractual agreement
153	Physical Therapist	101,338	105,392	106,405	1,013	
154	School Nurse	496,342	473,018	504,517	31,499	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement
155	Health Care Specialists	554,180	593,673	587,239	-6,434	Overall change reflects a reduction in staffing levels as a result of Priority Based Budgeting (1.0 FTE) in addition to an increase in the employee contractual agreement
156	School Social Worker	887,544	660,092	753,471	93,379	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement
157	School Psychologists	1,319,396	1,358,683	1,256,265	-102,418	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement
161	Paraprofessionals - Certified	2,862,966	3,125,349	3,815,855	690,506	Overall change reflects planned staffing levels related to programming and Priority Based Budgeting, in addition to an increase in the employee contractual agreement
162	Paraprofessionals - One-to-One	174,899	196,219	267,296	71,077	Reflects planned staffing levels
165	School Counselors	1,415,409	1,444,987	1,306,559	-138,428	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement
168	Security Specialist	134,753	148,880	155,580	6,700	
170	Tech Support	3,263,000	3,390,456	3,030,995	-359,461	Overall change reflects a decrease in staffing levels as a result of Priority Based Budgeting (Elementary & Middle School Support FTEs, College & Career Support) in addition to an increase in the employee contractual agreement
171	Subs-Tech Support	9,612	18,770	18,844	74	
172	Custodians	2,766,944	3,004,040	3,472,335	468,295	Overall change reflects a increase in staffing levels as a result of Priority Based Budgeting (3.0 FTE) in addition to an increase in the employee contractual agreement
173	Overtime	210,131	122,755	125,322	2,567	
174	DAPE Specialists	286,214	297,895	286,122	-11,773	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement
175	Cultural Liaisons	0	15,000	15,000	0	
176	Subs-Custodian	301,185	202,000	303,658	101,658	Reflects planned staffing levels
177	Crossing Guards	7,009	11,678	30,027	18,349	Reflects planned staffing levels
178	Lunchroom Supervisors-Licensed	2,679	10,000	10,000	0	
180	Coaches	972,399	740,497	597,356	-143,141	General Fund reduction for the middle school athletics program (transitioning to Community Education)
185	Advisors	212,154	196,493	196,493	0	
186	Other Salary Payments-Non-Licensed	278,673	135,290	129,723	-5,567	
189	Other Salary Payments-Licensed	1,349,928	1,194,645	1,152,913	-41,732	General Fund reduction due to the middle school athletics program transitioning to Community Education in addition to a decrease in Federal grant carryover
210	FICA	5,555,953	5,664,318	5,659,836	-4,482	

BUDGET DETAIL SUMMARY

EXPENDITURE BY OBJECT

OBJ	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
214	PERA	1,058,977	1,036,712	1,038,524	1,812	
218	TRA	5,351,357	5,505,959	5,497,519	-8,440	
219	MPFML	0	164,617	410,786	246,169	Increase is related to the employer share of the paid family and medical leave tax (PFML).
220	Health Insurance	15,366,491	16,601,693	17,509,836	908,143	Overall change reflects planned staffing levels and contractual agreements for the health insurance plan.
225	Dental Insurance	981,853	1,105,932	1,135,291	29,359	Overall change reflects planned staffing levels and contractual agreements for the dental insurance plan.
230	Life Insurance	228,198	259,217	259,317	100	
235	LTD Insurance	238,177	274,572	275,320	748	
236	Short Term Disability	254,889	116,600	116,600	0	
240	Legal Insurance	-47	0	0	0	
245	Vision Insurance	14,429	0	0	0	
250	TSA	1,903,144	1,922,412	1,920,396	-2,016	
251	Severance TSA	0	20,000	20,000	0	
252	Severance Health	0	20,000	20,000	0	
253	Health Care Savings Plan	917,750	710,499	710,658	159	
254	VEBA Contribution	2,535,076	2,409,275	2,604,292	195,017	Change reflects planned staffing levels and employee contractual agreements.
270	Workers Compensation	322,946	298,851	298,753	-98	
280	Unemployment Compensation	73,319	108,000	108,000	0	
281	Unemployment - Hourly Summer	353,044	414,000	414,000	0	
291	OPEB (pay as you go)	1,128,037	1,028,913	1,337,587	308,674	Other Post Employment Benefits
297	Tuition/Classes	11,175	29,400	29,400	0	
298	Contract Dues	17,167	17,330	17,330	0	
299	Other Employee Benefits	4,899	14,200	14,200	0	
300	Contracted Services Not Subs	76,500	86,502	86,502	0	
301	Contracted Service Subs	1,371,510	1,120,000	1,242,400	122,400	Reflects PFML sub increase net savings from the high school sub model change
302	Background Check	23,839	22,000	22,440	440	
303	Federal Contracts < $25,000	90,644	83,550	51,777	-31,773	Decrease related to reductions in Title I and III funds
304	Federal Contracts > $25,000	73,606	52,091	6,247	-45,844	Decrease related to reductions in Title I and II funds
305	Consulting/Service Fees	2,630,464	2,362,119	2,355,540	-6,579	
306	Audit Services	130,781	121,025	133,128	12,103	
307	Legal Services	96,211	130,000	132,400	2,400	
308	Printing Services	68,476	62,550	63,253	703	
309	Credit Card Fees	27,486	20,572	20,984	412	
310	Snow Removal/Lawn Services	220,387	227,053	238,405	11,352	Increase reflects inflationary costs
312	Officials/Judges	91,001	85,270	77,656	-7,614	General Fund reduction due to the middle school athletics program transitioning to Community Education
313	Laundry Services	13,279	21,800	22,236	436	
314	On-Line/College Courses	92,590	95,368	97,276	1,908	
315	Computer/Tech Repair and Maint	35,595	47,000	47,000	0	
317	Contracted Subs for SPED Program	564,749	445,000	453,900	8,900	
320	Communication Services	73,515	151,878	154,044	2,166	
321	Other Contracted Security Services	3,000	1,000	1,020	20	
322	School Resource Officer	476,882	508,209	533,620	25,411	Increase reflects projected staffing levels and inflationary costs
325	Recruiting	4,589	10,000	10,000	0	
326	Serv Purch Oth Joint-Powers Agreement	40,000	40,000	40,000	0	
327	Contracted Subs SPED Prog Sch Bus	32,922	14,340	14,618	278	
329	Postage	43,638	55,625	56,305	680	
330	Electricity	1,363,068	1,494,148	1,568,855	74,707	Increase reflects inflationary costs
331	Natural Gas	555,938	771,642	810,224	38,582	Increase reflects inflationary costs
332	Water and Sewer	203,360	186,137	195,444	9,307	
333	Garbage Collection	139,654	131,225	137,787	6,562	
335	Short Term Lease/Rental	984,974	1,005,456	1,101,674	96,218	Increase is related to the Northeast Metro 916 school district lease levy.

BUDGET DETAIL SUMMARY

EXPENDITURE BY OBJECT

OBJ	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
340	Insurance	982,170	1,115,000	1,185,978	70,978	Reflects estimated cost increase for 2026-27 property and liability insurance
341	Physical Therapy Serv >$25,000	143,157	0	0	0	
350	Repair/Maintenance Services	1,263,901	1,394,349	1,413,751	19,402	Increase reflects inflationary costs
357	Interpreter for the Deaf Services	0	763	763	0	
358	Foreign Language Interpreter	21,709	15,000	15,300	300	
360	Transportation Contracts	14,353,767	13,437,376	13,434,290	-3,086	Overall change reflects an increase for inflationary costs in addition to reductions as a result of Priority Based Budgeting.
365	Transportation Chargebacks	0	2,080	2,150	70	
366	Travel and Conferences	235,586	256,728	266,775	10,047	
368	Out Of State Travel - Federal	0	1,487	1,487	0	
369	Entry Fees/Student Travel Exp	364,999	569,460	532,665	-36,795	Decrease related to one-time only grants/donations. Any new grants will be included in the 2026-27 Revised budget.
371	Physical Therapy Serv <$25,000	25,000	151,500	151,500	0	
390	Tuition To Oth MN Sch District	259,537	423,575	437,465	13,890	
391	Pmt To MN Sch-Cost Share Agmt	624,463	666,050	666,584	534	
392	Tuition Out-Of-State Sch Dist	22,230	10,000	30,000	20,000	Increase related to projected expenditure activity.
393	Sped Cont Serv - Non Sch Dist	292,771	178,275	178,485	210	
394	Payments to Oth Agencies	1,271,525	1,000,950	1,089,130	88,180	Increase related to projected Post Secondary Enrollment Options (PSEO) activity.
396	Sped Sal Purchase fr Oth Dist	524,436	358,000	365,160	7,160	
397	Sped Bens Purchase fr Oth Dist	233,399	177,035	180,576	3,541	
398	Administrative Chargebacks	-538,192	-543,278	-683,278	-140,000	Overall change reflects an increase in chargebacks to the Community Service Fund ($40,000) and Nutrition Services Fund ($100,000) as as result of Priority Based Budgeting.
401	Non-Instructional Supplies	823,948	925,537	845,888	-79,649	General Fund reduction due to the middle school athletics program transitioning to Community Education in addition to a reduction in one-time only funding.
404	ID Badges	1,041	2,000	2,040	40	
405	Non-Instructional Annual License/Software	1,058,176	1,177,037	1,178,134	1,097	
406	Instructional Software License	426,277	518,818	431,229	-87,589	Overall change includes a reduction in software applications as a result of Priority Based Budgeting.
409	Uniforms	6,962	9,400	9,400	0	
410	Custodial/Repair Supplies	506,024	553,672	563,982	10,310	
430	Instructional Supplies	208,678	343,972	267,060	-76,912	Decrease related to grant expenditures. The 2026-27 Revised budget will include budgets for any new grants.
433	Individualized Instructional Supplies	49,242	56,684	50,124	-6,560	
440	Fuel For Buildings	69,984	46,000	48,300	2,300	
442	Gasoline	25,784	29,500	30,891	1,391	
455	Non-Instructional Technology Supplies	10,813	13,315	13,583	268	
456	Instructional Technology Supplies	21,656	6,400	5,730	-670	
460	Textbooks and Workbooks	188,990	225,850	338,900	113,050	Overall increase is related to investment in new Amigos Unidos curriculum.
461	Standardized Tests	124,287	109,150	103,760	-5,390	
465	Non-Instructional Technology Devices	188,481	756,683	657,480	-99,203	Decrease related to Tech Levy
466	Instructional Technology Devices	671,825	833,019	829,119	-3,900	
470	Media Resources	100,450	88,947	21,577	-67,370	Decrease reflects a reduction in school library aid funds.
490	Food	30,851	30,975	29,456	-1,519	
520	Bldg Acquisition/Construction	6,505,720	5,001,280	5,546,572	545,292	Increase is related to Long Term Facilities Maintenance (LTFM) levy projects that are part of the General Fund.
522	Vandalism	953	25,000	25,000	0	
530	Other Equipment Purchased	459,708	448,950	288,800	-160,150	Decreases relate to operating capital project level activity
533	Sped Equipment	9,473	5,000	5,000	0	
535	Long Term Leases	431,477	0	0	0	
555	Cap Non-Instr Tech Hardware	0	1,450	1,450	0	
560	Long Term Comp/Tech Lease Principal	794,142	0	0	0	
561	Long Term Comp/Tech Lease Interest	6,987	0	0	0	
562	Principal - Long Term SBITA	84,139	0	0	0	
563	Interest - Long Term SBITA	1,978	0	0	0	
564	Principal - Long Term Instructional SBITA	0	461,852	461,852	0	

BUDGET DETAIL SUMMARY

EXPENDITURE BY OBJECT

OBJ	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
580	Principal - Long Term Lease	990,000	990,000	719,600	-270,400	Relates to the 2019A & 2021A Certificates of Participation payment schedules (part of the district's lease levy)
581	Interest - Long Term Lease	260,500	260,500	534,900	274,400	Relates to the 2019A & 2021A Certificates of Participation payment schedules (part of the district's lease levy)
589	Long Term Lease Transactions	-431,477	0	0	0	
820	Dues and Memberships	76,151	91,210	92,251	1,041	
891	TRA/PERA Special Funding Expenditures	356,298	0	0	0	
895	Federal Indirect Costs	-4,771	-6,477	0	6,477	
896	Taxes, Special Assessments and Interest	870	2,500	2,500	0	
898	Scholarships	55,283	30,000	30,000	0	
910	Perm Transfers	430,298	0	0	0	
	Total	**155,876,445**	**155,726,534**	**156,869,428**		
	FOOD SERVICE FUND					
100	Administrators	133,109	135,250	137,400	2,150	
120	Supervisors	288,993	325,250	426,700	101,450	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement.
160	Cooks	1,941,080	2,076,390	2,256,100	179,710	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement.
162	Subs-Cook	100,933	89,500	94,700	5,200	
170	Tech Support	53,449	56,000	53,000	-3,000	
172	Custodians	30,200	30,000	35,000	5,000	
173	Overtime	1,684	2,000	250	-1,750	
186	Event Pay	343	1,250	200	-1,050	
210	FICA	187,849	192,534	217,180	24,646	Increase is related to projected benefit expenditures.
214	PERA	180,744	200,540	218,675	18,135	Increase is related to projected benefit expenditures.
219	MPFML	0	801	11,179	10,378	Increase is related to the paid family medical leave tax (employer share).
220	Health Insurance	558,621	579,106	722,320	143,214	Increased due to the addition of benefit eligible positions
225	Dental Insurance	35,393	38,466	40,445	1,979	
230	Life Insurance	1,602	1,976	1,936	-40	
235	LTD Insurance	4,343	5,005	5,135	130	
236	Short Term Disability	3,311	2,900	4,000	1,100	
250	TSA	24,551	27,979	31,861	3,882	
253	Health Care Savings Plan	8,777	0	0	0	
254	VEBA Contribution	89,523	99,765	96,500	-3,265	
270	Workers Compensation	72,733	77,311	84,490	7,179	
305	Consulting/Service Fees	9,826	4,300	4,400	100	
308	Printing Services	3,729	0	4,000	4,000	
309	Credit Card Fees	32,741	33,500	34,000	500	
320	Communication Services	1,585	1,700	1,500	-200	
329	Postage	45	120	100	-20	
333	Garbage Collection	31,592	37,700	35,000	-2,700	
350	Repair/Maintenance Services	52,144	100,000	85,000	-15,000	
366	Travel and Conferences	3,847	2,225	3,025	800	
398	Administrative Chargebacks	140,484	250,000	250,000	0	Includes additional $100,000 Admin chargeback as a result of Priority Based Budgeting
401	Non-Instructional Supplies	90,072	101,380	105,400	4,020	
402	Smallwares	0	0	55,000	55,000	New category for 2026-27: Smallwares include handheld tools, utensils, and other supplies used in food preparation, cooking, and serving.
403	Small Equipment	48,179	65,250	13,400	-51,850	Reduction in small equipment allocation (due to new smallwares category allocation)
404	Signage	13,206	0	10,000	10,000	
405	Non-Instructional Annual License/Software	21,365	31,308	32,000	692	

BUDGET DETAIL SUMMARY

EXPENDITURE BY OBJECT

OBJ	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
409	Uniforms	9,844	6,100	5,050	-1,050	
442	Gasoline	229	250	400	150	
455	Non-Instructional Technology Supplies	6,863	3,200	5,500	2,300	
465	Non-Instructional Technology Devices	11,780	19,000	15,000	-4,000	
490	Food	2,386,991	2,429,255	2,487,000	57,745	Increase is due to projected food expenditures.
491	Commodities	406,530	487,828	476,394	-11,434	
495	Milk	238,479	260,025	197,650	-62,375	Decrease in projected milk expenditures
530	Other Equipment Purchased	209,121	200,000	150,000	-50,000	Reduction in equipment purchases for 2026-27
820	Dues and Memberships	3,726	3,700	3,700	0	
	Total	**7,439,615**	**7,978,864**	**8,410,590**		
	COMMUNITY SERVICE FUND					
100	Administrators	185,879	188,527	192,247	3,720	
120	Supervisors	519,728	618,084	726,502	108,418	Overall change reflects planned staffing levels in addition to an increase in the employee contractual agreement.
121	Confidential/Specialists	49,193	83,162	84,825	1,663	
122	Subs-Health Specialists	189	225	225	0	
123	SAC Site Leaders	439,758	447,704	453,719	6,015	
125	Schl Readiness/ABE Supervisor	232,742	243,191	248,004	4,813	
140	Teachers	1,151,423	1,086,311	1,035,143	-51,168	Decreased due to General Fund Voluntary Pre-k allocation for school readiness
141	Community Ed Assistants	1,937,471	2,139,570	2,528,566	388,996	Overall change reflects planned staffing levels in Community Education and School Readiness in addition to an increase in the employee contractual agreement.
143	Coordinators	70,832	73,441	75,165	1,724	
145	Subs-Teacher	589	0	0	0	
154	School Nurse	8,586	19,704	19,879	175	
155	Health Care Specialists	16,176	25,889	25,889	0	
165	School Counselors	4,999	27,382	27,382	0	
170	Tech Support	314,913	273,155	278,761	5,606	
172	Custodians	32,718	61,293	62,813	1,520	
173	Overtime	76,136	76,257	75,915	-342	
186	Casual/Other Pmts Non-Licensed	412,045	382,241	367,626	-14,615	
189	Casual/Other Pmts Licensed	67,301	62,305	229,289	166,984	Overall change is mainly due to the middle school athletics program transitioning from the General Fund to Community Education.
210	FICA	432,591	465,585	474,779	9,194	
214	PERA	239,553	307,579	340,698	33,119	Increase is related to projected benefit expenditures.
218	TRA	157,340	165,463	177,260	11,797	Increase is related to projected benefit expenditures.
219	MPFML	0	25,087	28,095	3,008	Increase is related to the paid family medical leave tax (employer share).
220	Health Insurance	578,004	679,304	757,289	77,985	Overall change reflects planned staffing levels and contractual agreements for the health insurance plan.
225	Dental Insurance	40,958	47,856	48,858	1,002	
230	Life Insurance	10,507	13,154	9,950	-3,204	
235	LTD Insurance	7,870	9,525	9,750	225	
236	Short Term Disability	10,277	0	0	0	
250	TSA	75,975	79,226	85,291	6,065	Increase is related to projected benefit expenditures.
253	Health Care Savings Plan	42,991	47,903	58,178	10,275	Increase is related to projected benefit expenditures.
254	VEBA Contribution	95,988	108,424	105,080	-3,344	
270	Workers Compensation	30,668	28,364	31,992	3,628	
297	Tuition/Classes	0	7,000	5,200	-1,800	
299	Other Employee Benefits	204	300	300	0	

BUDGET DETAIL SUMMARY

EXPENDITURE BY OBJECT

OBJ	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
301	Contracted Service Subs	44,292	44,000	53,000	9,000	Increase is related to substitute expenditures.
304	Advertising Services	424	500	500	0	
305	Consulting/Service Fees	712,815	688,658	734,123	45,465	Increase is related to planned expenditures for Community Education programming.
308	Printing Services	54,582	60,000	60,000	0	
309	Credit Card Fees	203,408	240,483	241,849	1,366	
310	Snow Removal/Lawn Services	2,423	3,000	3,000	0	
312	Officials/Judges	0	0	10,869	10,869	Increase is related to the middle school athletics program transitioning from the General Fund to Community Education.
320	Communication Services	3,291	3,674	3,560	-114	
329	Postage	7,713	12,451	11,370	-1,081	
330	Electricity	19,499	28,200	21,500	-6,700	
331	Natural Gas	5,710	5,000	7,000	2,000	
332	Water and Sewer	7,228	8,500	8,300	-200	
333	Garbage Collection	1,523	1,800	1,700	-100	
335	Short Term Lease/Rental	22,418	30,337	26,500	-3,837	
350	Repair/Maintenance Services	723	750	750	0	
358	Foreign Language Interpreter	0	100	100	0	
360	Transportation Contracts	59,026	64,200	68,100	3,900	
365	Transportation Chargebacks	0	500	0	-500	
366	Travel and Conferences	12,726	21,535	17,270	-4,265	
369	Entry Fees/Student Travel Exp	79,209	86,545	92,200	5,655	
398	Administrative Chargebacks	397,708	420,563	445,398	24,835	Includes additional $40,000 Admin chargeback as a result of Priority Based Budgeting.
401	Non-Instructional Supplies	137,074	155,096	182,327	27,231	Increase is mainly related to the middle school athletics program transitioning from the General Fund to Community Education.
405	Non-Instructional Annual License/Software	10,630	8,065	11,595	3,530	
406	Instructional Software License	1,920	7,803	7,803	0	
410	Custodial/Repair Supplies	5,117	8,500	6,500	-2,000	
430	Instructional Supplies	4,533	20,782	16,055	-4,727	
455	Non-Instructional Tech Supplies	0	0	500	500	
460	Textbooks and Workbooks	60,009	63,742	63,242	-500	
461	Standardized Tests	94	2,100	1,000	-1,100	
465	Non-Instructional Tech Devices	4,494	14,460	13,550	-910	
490	Food	113,189	134,615	137,434	2,819	
530	Other Equipment Purchased	10,524	23,150	9,000	-14,150	
560	Long Term Computer/Tech Lease	0	500	500	0	
820	Dues and Memberships	23,350	21,730	21,415	-315	
895	Federal Indirect Costs	4,771	8,320	8,320	0	
	Total	**9,254,026**	**9,982,870**	**10,851,000**		

BUILDING CONSTRUCTION FUND

OBJ	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
100	Administrators	215,452	232,352	139,411	-92,941	Reflects a decrease in salaries charged to building bonds (project support related)
110	Principals	0	150,000	90,000	-60,000	Reflects a decrease in salaries charged to building bonds (project support related)
120	Supervisors	26,124	0	0	0	
170	Tech Support	53,036	42,196	25,317	-16,879	Reflects a decrease in salaries charged to building bonds (project support related)
210	FICA	21,260	50,000	30,000	-20,000	Reflects a decrease in benefits charged to building bonds (project support related)
214	PERA	21,847	25,000	15,000	-10,000	Reflects a decrease in benefits charged to building bonds (project support related)
218	TRA	0	18,000	10,800	-7,200	Reflects a decrease in benefits charged to building bonds (project support related)
219	MPFML	0	1,000	600	-400	

BUDGET DETAIL SUMMARY

EXPENDITURE BY OBJECT

OBJ	DESCRIPTION	2024-25 ACTUAL	2025-26 REVISED	2026-27 PRELIM.	Prelim. - Rev. Difference	NOTES
220	Health Insurance	49,654	65,000	39,000	-26,000	Reflects a decrease in benefits charged to building bonds (project support related)
225	Dental Insurance	2,934	4,000	2,400	-1,600	
230	Life Insurance	1,181	2,000	1,200	-800	
235	LTD Insurance	959	2,000	1,200	-800	
250	TSA	9,773	15,000	9,000	-6,000	Reflects a decrease in benefits charged to building bonds (project support related)
253	Health Care Savings Plan	2,478	0	0	0	
254	VEBA Contribution	8,592	15,000	9,000	-6,000	Reflects a decrease in benefits charged to building bonds (project support related)
270	Workers Compensation	1,253	1,500	900	-600	
305	Consulting/Service Fees	22,972,185	9,280,605	0	-9,280,605	Adjusted to reflect FY27 School Building bond and FY27 Facilities Maintenance (LTFM) bond expenditures
307	Legal Services	432	0	0	0	
330	Electricity	0	75,000	0	-75,000	Adjusted to reflect FY27 School Building bond and FY27 Facilities Maintenance (LTFM) bond expenditures
331	Natural Gas	0	350,000	0	-350,000	Adjusted to reflect FY27 School Building bond and FY27 Facilities Maintenance (LTFM) bond expenditures
332	Water and Sewer	0	2,000	0	-2,000	Adjusted to reflect FY27 School Building bond and FY27 Facilities Maintenance (LTFM) bond expenditures
410	Custodial/Repair Supplies	0	6,000	0	-6,000	Adjusted to reflect FY27 School Building bond and FY27 Facilities Maintenance (LTFM) bond expenditures
520	Bldg Acquisition/Construction	13,779,982	109,630,025	34,855,728	-74,774,297	Adjusted to reflect FY27 School Building bond and FY27 Facilities Maintenance (LTFM) bond expenditures
530	Other Equipment Purchased	0	3,720,164	0	-3,720,164	Adjusted to reflect FY27 School Building bond and FY27 Facilities Maintenance (LTFM) bond expenditures
896	Taxes, Special Assessments & Int	0	1,453,200	0	-1,453,200	Adjusted to reflect FY27 School Building bond and FY27 Facilities Maintenance (LTFM) bond expenditures
	Total	**37,167,142**	**125,140,042**	**35,229,556**		
	DEBT SERVICE FUND					
710	Bond-Principal	8,705,000	9,900,000	9,100,000	-800,000	Decreased to reflect actual debt service principal payments
720	Bond-Interest	8,034,471	7,599,221	10,623,367	3,024,146	Increased to reflect actual debt service interest payments
790	Oth Debt Service Expenditures	9,349	10,000	10,000	0	
	Total	**16,748,820**	**17,509,221**	**19,733,367**		
	CUSTODIAL FUND (SCHOLARSHIPS)					
	All Gift Directed Expenditures	24,399	7,000	7,000		
	Total	**24,399**	**7,000**	**7,000**		

SECTION IV

Glossary

GLOSSARY

Minnesota Department of Education - Uniform Financial Accounting and Reporting Standards (UFARS)

Revenue Codes

Local Revenue (Source 001-099, 500-599)

001	**Property Tax Levy - General** This levy represents the local property tax effort in each fund. The property tax levy is reduced by the amount of state tax credits, fiscal disparities and county apportionment revenue.
004	**Revenue from Municipalities for Tax Increment Finance** Record all revenues received from cities or counties for tax increment financing district payments.
005	**Reemployment Compensation Levy** The reemployment compensation levy is based on the estimated expenditure during the year in which the levy will be received. The levy is reduced (increased) by any appropriated balance (deficit) projected.
009	**Fiscal Disparities Revenue** Record revenue from the fiscal disparities adjustment as found in the county report.
010	**County Apportionment** Record revenue that the county auditor apportions to school districts at the time of the March and November settlements. State aid is reduced by the total amount received.
019	**Miscellaneous Tax Revenues Paid by County** Record miscellaneous county tax revenues.
021	**Tuition and Reimbursements from Minnesota School Districts** Tuition costs received from other districts for educational purposes for pupils as well as revenue received for reimbursements of costs from Minnesota school districts.
022	**Reimbursement Revenue for Special Education Purchased Services from Another District** Record reimbursement revenue from a Minnesota school district for all the costs of licensed special education teachers that have been sold to another district.
040	**Tuition from Patrons** Revenue from students, parents, or guardians received for tuition for instructional programs.
041	**Tuition - Out of State** Revenue from students, parents, or guardians received for tuition for instructional programs.
050	**Fees from Patrons** Fees consist of various charges made to students, parents, or guardians for the rental or use of school equipment and all other charges permitted by law including transportation and activity / athletic fees.
051	**Parking Fees** Fees charged to students for the use of the student parking lots.
053	**Transcript Fees** Fees charged for copies of transcripts.
060	**Admissions and Student Activity Revenue** This revenue source is from district admission charges for athletic and fine arts events.
071	**Medical Assistance Revenue Received from Minnesota Department of Human Services** Revenue received from billing medical assistance for the provisions of IEP services.
088	**E-Rate** Federal reimbursement for telecommunications services.

092	**Interest Earnings** This is income from temporary investments in government bonds, treasury certificates, or other investments authorized by statute.
093	**Revenue from Leases or Rentals** This revenue is from rental of district property for any purpose, including the rental of buildings, land, vehicles and equipment.
096	**Gifts and Bequests** This revenue reflects contributions from local philanthropic foundations, local private individuals, or local private organizations for which no repayment or special service to the contributor is expected.
099	**Miscellaneous Revenue from Local Sources** This revenue source includes other miscellaneous revenue from local sources not classified elsewhere.
510 - 592	**Miscellaneous Community Service Program Revenue** This is revenue received from patrons for community service programs and services.

State Revenue (Source 200-399)

201	**Endowment Fund Apportionment** Revenue received from the permanent school fund. The amount of the revenue is determined by dividing the earnings by the number of pupil units in average daily attendance in the State of Minnesota. General education aid is reduced by the amount of revenue from this source.
211	**General Education Aid** This aid represents the state share of the basic general education revenue. It is based on the difference between the local tax effort and the total revenue allowed in the general education formula. This includes the sum of basic skill (compensatory, assurance of mastery and limited English proficiency), training and experience, transportation sparsity, operating capital, equity and supplemental aids.
213	**Shared Time Aid** Shared time aid represents state revenue received for a student that attends both public and nonpublic school. State revenue is based on the percentage of the student's time attending the public school.
227	**Abatement Aid** This state aid is received from the state for a calculated percentage of the net revenue loss in prior years due to county abatements of property tax levies.
234	**Agricultural Market Value Credit** This is revenue received for agricultural market value credit and is allocated to all funds having a levy.
258	**Other State Credits and Exempt Property Reimbursements** This revenue includes other aids received for the replacement of local taxes.
300	**State Aids Received from MN Department of Education** This revenue code is used to record state aid revenues and grants for projects specifically defined by the MN Department of Education.
301	**Nonpublic School Aid** Revenues received from the state for services and materials provided to nonpublic school students. Textbooks, instructional materials, guidance services, and nursing services are examples of items that may be provided.
308	**Telecommunications/Internet Access Equity Aid** Reimbursement for specific telecommunications/internet access, data lines and video link costs as prescribed by MN Statute 125B.26.

360	**State Aid for Special Education** Partial reimbursement for expenditures in special education is received from this state aid. This aid represents a percentage of both salary and equipment costs of the district.
369	**Other Revenue from Other State Agencies** Record state revenue received from state agencies other than MDE. This code is also used to record Unemployment Insurance.
370	**Miscellaneous Revenue from MN Department of Education** This represents miscellaneous revenue received from the MN Department of Education.
397	**TRA and PERA Special Funding Situations Revenue** Record the support received from the State of Minnesota per GASB Statement No. 68.

Federal Revenues (Source 400-499, 500-599)

400	**Federal Aids Received through the MN Department of Education** This revenue code is used to record revenue from federal aids and grants received through the MN Department of Education for specifically defined projects.
405	**Federal Aids Received through Other State, Local, or Fiscal Agencies** This is federal aid received from agencies other than the MN Department of Education.
471	**School Lunch Program** This is federal aid received as part of the federal school lunch program.
472	**Special Assistance - Needy Child Program** This federal aid provides free or reduced-price lunches for qualifying students.
474	**Commodity Distribution Program** This represents federal surplus food commodities provided to the school district. The quantities are based on average daily participation in the food service program from the prior year.
476	**School Breakfast Program** This federal aid provides free, reduced-price, and paid breakfasts for students.
479	**Summer Food Service Program** Record federal revenue earned from the summer food service program.
500	**Miscellaneous Federal Direct Aid** This represents miscellaneous federal revenue received directly from the federal government for specifically defined projects.

Other Revenue (Source 601-699)

601	**Food Service Sales to Pupils** Revenue generated from sales of food, milk, etc., to pupils.
602	**Food Service Sale of Milk** This revenue represents sales of milk.
606	**Food Service Sales to Adults** Revenue generated from sales of food, milk, etc., to adults.
608	**Special Function Food Sales** Record revenue generated from food services provided for school-related meetings and lunch functions not related to the National School Lunch Program.

619	**Cost of Materials for Revenue-Producing Activities (Contra Revenue)** Record the cost of the materials that were purchased for the purpose of producing an object for sale or for reselling of the material at a profit.
620	**Sales of Materials from Revenue-Producing Activities** Record the revenue generated from the sale of goods and services under the control of the Board of Education.
621	**Sale of Materials Purchased for Resale (Net of Tax)** Record net revenue from sales of materials and supplies to pupils.
624	**Sale of Equipment** Record proceeds from the sale of equipment.
625	**Insurance Recovery** Record revenue from insurance recoveries for losses of school property.
628	**Judgements for the School District** Record non-recurring funds received as a result of class action suits/litigation settlements.
631	**Sale of Bonds** Record proceeds received from the sale of bonds.
649	**Permanent Transfers from Other Funds** Record board-approved operating transfers (for amounts received by one fund from another fund) according to MN Statutes 2024, section 123B.79.

GLOSSARY

Minnesota Department of Education - Uniform Financial Accounting and Reporting Standards (UFARS)

Expenditure Object Code Series

100 -199	**Salaries and Wages** This series of expenditure codes are related to all full and part-time employees of the district. They do not include self-employed personnel or independent contractors.
200 -299	**Employee Benefits** This series of expenditure codes relates to the non-salary costs of benefits paid on behalf of district employees. These include FICA, PERA, TRA, MPFML, workers' compensation, dental insurance, health insurance, life insurance, long-term disability insurance, and reemployment insurance.
300 -399	**Purchased Services** The account codes in this series are used for expenditures for contracted personnel and other purchased services. Included in this series are expenditures for legal services, telecommunication services, transportation contracts, tuition paid to other Minnesota school districts, insurance, and utility costs.
400-499	**Supplies and Materials** Expenditures in this series relate to tangible items of an expendable nature. These include textbooks, instructional and general office supplies, lunchroom supplies, and food for preparing student meals. Other costs relate to the facilities department for building upkeep and maintenance.
500 -599	**Capital Expenditures** The cost of purchasing instructional and non-instructional equipment, refurbishing and remodeling buildings, construction of portable buildings, and other major maintenance projects are budgeted in this account series. Installment payments for the principal and interest amounts of purchased equipment are also included in this series.
700 -799	**Debt Service** These expenditures cover debt service principal, interest, and other related costs.
800 -899	**Other Expenditures** Other expenses include other miscellaneous expenses not elsewhere categorized, including indirect cost allocations, dues, and memberships.
900-999	**Other Financing Uses** Transfers from one fund to another, usually from the General Fund to another fund. These transfers are recorded as expenditures, and these expenditures are recorded as an *Other Financing Use* in the financial statements.

SECTION V

Supplemental Information

2026-27 Preliminary Budget Guidelines & Assumptions

The purpose of Stillwater Area Public Schools is to inspire curiosity and the love of learning in every child. We provide a wide range of engaging learning opportunities to build the resilience and empathy learners need to successfully navigate their futures.

We are committed to creating a culture that supports students and staff so that they can be their best. To that end, district leaders are utilizing a Priority Based Budgeting (PBB) process to ensure money is being invested in areas that support the district's goals. PBB identifies the programs that offer the highest value and continues to provide funding for them, while fixing, replacing or eliminating programs or services that have shown limited value or success.

Priority Based Budgeting Framework:

Source: Government Finance Officers Association

The preliminary budget is being established to mirror the beliefs of the district and align with the strategic plan's directions, objectives and key initiatives.

Beliefs:

- Everyone belongs
- Everyone has a voice
- All students deserve an excellent education
- The whole child matters
- Curiosity thrives here

Strategic Directions:

- Strategic Direction A: Ensure the learning process is adaptable to meet individual student needs
- Strategic Direction B: Foster a safe, welcoming and inclusive environment for all staff and students
- Strategic Direction C: Utilize systems and align resources in an efficient manner to support learning
- Strategic Direction D: Develop strong partnerships with the communities we serve

Strategic Plan Objectives:

The objectives of our strategic plan are based on the Minnesota Department of Education's Comprehensive Achievement and Civic Readiness goals.* Each year, our school board members and district staff work together to set goals in each of the five focus areas. Goals may range from one to three years in length.

Strategic Plan/Comprehensive Achievement and Civic Readiness Objectives
• All children are ready for school • All students can read at grade level beginning in Kindergarten • All racial and economic achievement gaps are closed • All students are ready for career and college • All students graduate from high school

*Minnesota Statute 120B.11

Strategic Plan Key Initiatives:

- Literacy
- School Culture, Equity & Inclusion
- Social Emotional Learning

Preparing Preliminary Budget Calculations:

Enrollment: Enrollment for the 2026-27 school year will be projected using the information provided by the MARSS/Enrollment Office as of 2/5/26. The Chief Financial Officer will coordinate any final changes to projected enrollment, as necessary.

Stillwater
AREA PUBLIC SCHOOLS

2026-27 Revenue Projections
● Revenue will be calculated using the current formula allowances in State legislation. ● Levy revenue will be based on the amount certified by the School Board on December 16, 2025, with adjustments for enrollment, as necessary ● Federal revenue, including entitlements, will be based on preliminary information provided by the Minnesota Department of Education (MDE) & district estimates
2026-27 Expenditure Projections
● Expenditure projections are based on actual salaries and benefits, honoring all labor agreements ● Staffing allocations are based on projected enrollment ● Benefit rates will include changes in rates for medical & dental insurance, pension contributions (PERA, TRA), or other changes to benefit plans ● Projections for certain non-salary expenditures will include adjustments for inflation ● Use of restricted fund balance for next fiscal year must follow Policy 714 & statutory guidance

Fund Balance: In accordance with Policy 714 – Fund Balances, the school district will strive to maintain a minimum unassigned general fund balance of five (5) percent of the annual general fund budget.

Presenting the 2026-27 Budget:

Timeline: A 2026-27 budget timeline will be shared with the School Board and published in the Business & Finance section of our website.

Presentation Format: Summary information will be presented by fund, in addition to comparisons of revenue, expenditures, and changes in fund balance. The preliminary budget document will include an overview of the district and goals of the strategic plan, enrollment projections and trends, and staffing allocation ratios in addition to budget summaries by fund that will highlight key areas that have changed for the upcoming fiscal year.

The Preliminary Budget: In accordance with Policy 701 – Establishment and Adoption of School District Budget, the School Board shall approve and adopt its initial revenue and expenditure budgets for the next school year prior to July 1 of each year. Preliminary Budget documents and presentations will be available on the Business & Finance website.

2026-27 Budget Timeline

July 2025
2026-27 Long-Term Facilities Maintenance (LTFM) 10-year plan submitted to MDE

Aug. 2025
Aug 5: *School Board Mtg*
Enrollment Report

Pay2026 Levy planning (MDE summer levy input)

Sept. 2025
Sept 30: *School Board Mtg*
Pay2026 Preliminary levy approval

Oct. 2025
Oct 1: Initial "Oct 1" Enrollment count

Nov. 2025
FY27 Budget planning meetings

Dec. 2025
Dec 2: *School Board Mtg*
Pay2026 Levy TNT Hearing
Dec 16: *School Board Mtg*
Pay2026 Final Levy Certification

FY27 Budget & Capital planning meetings

FY27 Revenue projections

Jan./Feb. 2026
Jan 6: *School Board Mtg*
FY25 Financial Audit presentation
Jan 20: *School Board Mtg*
Fiscal Forecast
Feb 2: *School Board Mtg*
FY27 Priority Based Budgeting Update
Feb 5: FY27 preliminary enrollment projections
Feb 17: *School Board Mtg*
FY27 Budget Guidelines & Assumptions

FY27 Staffing allocations provided to schools

March 2026
Mar 3: *School Board Mtg*
FY27 Priority Based Budgeting Update

FY27 Budget allocations provided to schools & programs

Staffing Meetings with school & program administrators

April 2026
Apr 21: *School Board Mtg*
FY27 Priority Based Budgeting Update

School & Program staffing plans due

May 2026
School & Program budgets due

May 5: *School Board Mtg*
FY27 Priority Based Budgeting Update

May 19: *School Board Mtg*
FY26 Spring Budget Revision

June 2026
Jun 2: *School Board Mtg*
FY27 Priority Based Budgeting Update

Jun 23: *School Board Mtg*
FY27 Preliminary Budget Presentation (approval)